

# **Acme Global Enterprise - 401(k) Plan Summary (Sample)**

## **Section 1: Eligibility, Contributions and Employer Match**

### **1.1 Eligibility**

All employees are eligible to join the plan after thirty (30) days of service.

### **1.2 Employee Contributions**

Employees may contribute between 1% and 75% of eligible pay, either pre-tax or Roth.

(a) The annual IRS limit applies. For 2026 the employee limit is \$24,500. Employees age 50 or older may add catch-up contributions. IRS limits change each year, so check the current figure.

(b) Contributions are taken from each paycheck.

### **1.3 Employer Match**

The company matches 100% of the first 4% of pay that the employee contributes.

(a) Employer match contributions are fully vested after two (2) years of service.

(b) Employee contributions are always 100% vested.

### **1.4 Changing Your Contribution**

Employees may change their contribution percentage at any time.

(a) A change received before the payroll cutoff takes effect within two (2) pay periods.

(b) During paid leave, contributions continue from the paid compensation. During unpaid leave, contributions pause.

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## **Section 2: Loans, Hardship Withdrawals and Distributions**

### **2.1 Plan Loans**

Participants may borrow from their vested balance.

- (a) The maximum loan is the lesser of 50% of the vested balance or \$50,000.
- (b) The term is up to five (5) years, or up to ten (10) years to buy a main home.
- (c) Only one (1) loan may be active at a time. There is a \$75 origination fee.
- (d) Repayment is by payroll deduction, with interest set by the plan.
- (e) If employment ends, the unpaid balance is due or is treated as a taxable distribution.

### **2.2 Hardship Withdrawals**

A hardship withdrawal is allowed only for an immediate and heavy financial need, such as medical costs, preventing eviction, funeral costs, or buying a main home.

- (a) The amount cannot be more than the need.
- (b) Income tax and a 10% early withdrawal penalty may apply.
- (c) Hardship withdrawals cannot be paid back into the plan.

### **2.3 Distributions and Rollovers**

Distributions are allowed after leaving the company or after age 59 and a half.

A rollover to another plan or IRA can avoid taxes if done correctly.

### **2.4 Recording Requests in ADP**

All contribution changes, loans and distributions must be recorded through the ADP Retirement Services integration. This plan summary gives plan information only. It is not personal financial or tax advice.